Executive Summary
Template

Recommended Solution

a) Use the model to **rank the Customers by churn** risk and target retention at the highest risk ones, **prioritizing high-margin and newer (2-4 yr) customers.**

b) **Pilot a** targeted offer (discount or promo package) on a high-risk group vs a control group, and measure retention before scaling.

c) **Impact:** the model catches about 63% of churners while flagging about 38% of customers; each 1-point drop in churn retains about 146 customers.

Situation

PowerCo is an energy supplier (electricity and gas). As the market becomes more competitive, SME customers can switch providers easily, so retaining them is key to protecting revenue.

Complication

About 9.7% **of SME customers churn, roughly 1 in 10.** Today PowerCo has no reliable way to predict who will leave , or why.

Question

Is churn driven mainly by **price,** or by **customers characteristics such as tenure, consumption and margin,** and can we identify **at-risk customers early enough to act?**